Risk Reduction Training for E&O/Compliance

3 Hours (no CE credit)

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AI COMPLIANCE

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AI Compliance
Core Principles

1. No public AI tools may interact with United Real Estate Confidential Information in any way.
2. Truthful & Non-Misleading: Present accurate information; no exaggerated AI claims
3. Fair Housing Compliance: No discriminatory content or audience targeting by protected characteristics
4. Human Oversight: Agents must review, fact-check, and approve all AI outputs before use
5. Privacy & Data Minimization: Use minimum necessary client data; honor privacy rights

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AI Compliance

Permitted AI Uses (with human review)

- Draft listing descriptions, captions, alt-text (no FHA violations)
- Summarize public property data
- Create virtually staged interiors (labeled, no permanent fixture changes)
- Draft compliant email/social messages
- Website chatbot triage (escalates advice to humans)

Prohibited AI Uses

- Target/exclude audiences by protected characteristics
- Generate fake reviews/testimonials
- Misrepresent property condition or alter exteriors
- Auto-dial/AI-assisted calls/texts without valid consent
- Upload contracts, SSNs, bank statements, or sensitive PII to non-approved tools

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AI Compliance
Standards for AI-Generated Content

1. **Label "Virtually Staged"** on all applicable photos
2. **No unsubstantiated claims** (e.g., "AI guarantees best price")
3. **Verify all facts** (beds/baths/SF/schools/fees) before publishing
4. **Maintain AI Review Log** with source notes for 2 years
5. **Confirm IP rights** for photos, floor plans, media

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E&O COVERAGE

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E&O Coverage

Owner Property Coverage

1.Sale of property with ≤20% ownership (not developed/constructed by insured)

2.Sale of residential property with >20% ownership - covered IF all these conditions are met:

- Seller disclosure signed and acknowledged by buyer
- Home inspection report by licensed inspector (or waived)
- State/local board approved standard sales contract used
- Home warranty purchased (or provided by builder, or waived)
- Ownership interest disclosed to buyer in writing

Leasing of owned property with <50% interest (if disclosed in application with applicable revenues)

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E&O Coverage

Common Disqualifiers for $7500 indemnification -- Late notice or voluntary payment before notifying the Broker

- **Owned-property sales >20% ownership WITHOUT all 5 conditions**
- Services beyond covered professional services
- Missing paperwork, improper compensation or unpaid fees
- TCPA violations
- Lack of participation in defense

The key takeaway: **documentation, timely reporting, and full compliance with both the policy terms and brokerage procedures** are essential.

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Welcome to Risk Reduction

- Protect your license
- Reduce E&O exposure
- Strengthen compliance
- Improve client outcomes

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Why E&O Claims Happen

- Misrepresentation
- Contract errors
- Disclosure issues
- Agency – Intermediary mistakes
- Wire fraud
- Negligence in Transaction Management
- Fair Housing Violations

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TEXAS LEGAL & REGULATORY FOUNDATIONS

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TRELA Overview

- Governs license holders
- Defines duties & prohibited practices
- Enforced by TREC

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TREC Rules: Common Violations

- Advertising compliance (Team names, No LLC advertising, Social Media)
- Unauthorized practice of law
- Failure to disclose
- Improper intermediary

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Required Disclosures

- Seller’s Disclosure Notice
- Lead-based paint
- Material facts
- Environmental hazards
- Deaths
- Stigmatized Properties

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PROPERTY CONDITION & DISCLOSURES

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Property Condition = #1 Lawsuit Source

- Most claims start here
- Avoid statements implying expertise
- Recommend inspections early
- When to recommend additional inspections
- What counts as material facts
- How to handle information from inspectors and sellers

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Seller’s Disclosure Notice

- Seller completes — not the agent
- Do not coach or edit
- Document delivery
- Everyone will be enrolled in SellersShield by next week. Seller(s) can complete the Disclosure (including Lead Based Paint electronically)

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Texas-Specific Risks

- Foundation movement
- Drainage issues
- Termites
- Flooding history

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CONTRACTS, FORMS & DOCUMENTATION

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TREC-Promulgated Forms

- Use only TREC Promulgated forms (exceptions are builders)
- No custom drafting
- No legal advice

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Common Contract Errors

- Missing signatures
- Incorrect dates
- Earnest money issues
- Incomplete addenda

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Special Provisions

- Factual statements only
- Not for legal language
- When in doubt — leave it blank

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SECTION 4 — AGENCY, FIDUCIARY DUTIES & INTERMEDIARY

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Fiduciary Duties

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- Obedience
- Loyalty
- Disclosure
- Confidentiality
- Accounting
- Reasonable care

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Intermediary Requirements

- Written consent
  - Listing Agreement
  - Buyer Representation Agreement
- Avoid Implied Agency
- Neutrality
- With Appointments ONLY (without appointments requires Broker approval)
- Conflicts of Interest and how to manage

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TXR 1409

A. Under this notice, "owner" means the seller or landlord of the Property and "prospect" means the above-named prospective buyer or tenant for the Property.

B. Broker's firm represents the owner under a listing agreement and also represents the prospect under a buyer/tenant representation agreement.

C. In the written listing agreement and the written buyer/tenant representation agreement, both the owner and the prospect previously authorized Broker to act as an intermediary if a prospect who Broker represents desires to buy or lease a property that is listed by the Broker. When the prospect makes an offer to purchase or lease the Property, Broker will act in accordance with the authorizations granted in the listing agreement and in the buyer/tenant representation agreement.

D. Broker ❑ will or ❑ will not appoint licensed associates to communicate with, carry out instructions of, and provide opinions and advice during negotiations to each party. If Broker makes such appointments, Broker appoints:

_____ to the owner; and

_____ to the prospect.

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FAIR HOUSING

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Protected Classes

- Race
- Color
- Religion
- Sex
- National origin
- Disability
- Familial status

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Advertising Pitfalls

- Avoid subjective language
- No “family-friendly,” “safe,” “good schools”, “elite”
- Primary bedroom instead of Master bedroom
- Use factual descriptions only

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CYBERSECURITY & WIRE FRAUD

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Wire Fraud = Fastest-Growing Claim

- Criminals monitor email
- Fake wiring instructions
- Huge financial losses
- Recognize Phishing, spoofing, spam or scam emails and texts

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Wire Fraud Warning Script

- “Never trust wiring instructions in email.”
- “Always call to verify.”

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PROFESSIONAL CONDUCT, ETHICS & COMMUNICATION

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Professional Conduct, Ethics & Communication

- Setting expectations with clients
- Managing difficult clients
- Avoiding overpromising
- How to communicate bad news
- The importance of written follow-up
- De-escalation strategies
- Protect client data (social security #, drivers license #, banking information)

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OFFICE POLICIES & SYSTEMS

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Required Brokerage Policies

- Advertising
- Records retention
- Supervision
- Teams

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Required Brokerage Policies

- Do NOT be the POA for the client
- Do NOT sign or initial documents for the client
- Do NOT become the Trustee for the seller client
- Do NOT Complete or fill in any documents that are disclosures by the seller including Seller's Disclosure, On-Site Sewer, Lead Based Paint, etc.
- Google is not your friend with regards to contract questions.
- Practice only in your geographical area of expertise or the real estate field.

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Subpoenas or Attorney

- If you are contacted by an attorney:
  - Stop talking
  - Notify me immediately
- If you are served papers or receive a subpoena of documents:
  - If served, accept the paperwork
  - Do NOT respond
  - Do NOT send paperwork
  - Notify me immediately
- If your client, the other party or the other brokerage/agent says they are contacting an attorney:
  - Stop talking
  - Notify me immediately

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Transactions

- Do your due diligence and ensure you are communicating with the actual owner of the property.
- If an LLC, who has the authority to sign on behalf of the LLC.
- If an estate, how is the probate paperwork or will styled for the authorized signatory.
- If a divorce, do you need signatures of both parties? If homestead property yes. If investment property maybe depending on the circumstances.
- Do not put the property on the market until you know that there is a clear title.
- Always communicate the same information to all parties.
- You do not need a written agreement if showing a buyer your listing.
- Do NOT allow agents outside of United Real Estate DFW Properties or United Real Estate Insight to hold your listing open.
- Do NOT hold other brokerages (including United Real Estate Dallas) listing open.
- Paragraph 5.B – for compensation moving forward. Therefore, Paragraph 12.A.1.b of the contract will be used.
- Do NOT show a property without a written buyer's representation agreement

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Key Takeaways

- Disclose early and often
- Document everything
- Use checklists
- Communicate clearly
- When in doubt — ask

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